

Examples of Correct and Incorrect Methods of Calculating Earnings Coverage for Preferred Stocks

- A. Colorado Fuel and Iron Company: 1929 figures
- | | |
|--------------------------------|-------------|
| Earned for bond interest | \$3,978,000 |
| Interest charges | 1,628,000 |
| Preferred dividends | 160,000 |
| Balance for common | 2,190,000 |
- | Customary but incorrect statement | Correct statement |
|--|-----------------------------------|
| Int. charges earned. 2.4 times | Int. charges earned ... 2.4 times |
| Preferred dividend earned 14.7 times | Interest and preferred |
| Earned per share of preferred ... \$117.50 | dividends earned ... 2.2 times |
- Note: The preceding statement of earnings on the preferred stock alone is either worthless or dangerously misleading.
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- B. Warner Bros. Pictures, Inc.: Year ended Aug. 28, 1937
- | | |
|---------------------------|--------------|
| Earned for interest | \$10,760,000 |
| Interest charges | 4,574,000 |
| Preferred dividends | 397,000 |
| Balance for common | 5,789,000 |
- | Customary but incorrect statement | Correct statement |
|---|------------------------------------|
| Int. charges earned 2.35 times | Int. charges earned ... 2.35 times |
| Preferred dividends earned 14.8 times | Interest and preferred |
| Earned per share of preferred ... \$56.99 | dividends earned 2.1 times |
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- C. West Penn Electric Company: 1937 figures
- | | |
|---|--------------|
| Gross | \$40,261,000 |
| Net before charges | 13,604,000 |
| Fixed charges (include preferred dividends of subsidiaries) | 8,113,000 |
| Dividends on 7% and 6% preferred issues | 2,267,000 |
| Dividends on Class A stock (junior to 6% and 7% Pfd.) | 412,000 |
| Balance for Class B and common | 2,812,000 |
- | Customary but incorrect statement | | Correct statement |
|--|------------------|--|
| Times interest or dividends earned | Earned per share | Times earned |
| Fixed charges... 1.68 times | | Fixed charges..... 1.68 times |
| 6% and 7% preferred (combined)... 2.42 times | \$16.11 | Charges and preferred dividends 1.31 times |
| Class A..... 7.43 times | 54.79 | Fixed charges, preferred dividends, and Class A dividends 1.26 times |